Table M1: Client Selection, Audit Warnings, and Big 4 Client Risk

Panel C: Audit Opinion Responses to Client Risk

	Loss		Z-score		Violation announcement	
	(1)	(2)	(3)	(4)	(5)	(6)
Dependent variable	MAO	GC	MAO	GC	MAO	GC
Risk slope: non-Big-4	0.084***	0.040***	-0.00002	0.00001	0.055***	0.028***
	(0.005)	(0.003)	(0.00007)	(0.00007)	(0.010)	(0.008)
Risk slope: Big 4	0.050***	0.002	-0.00048**	-0.00011	0.035	-0.004
	(0.016)	(0.012)	(0.00024)	(0.00009)	(0.044)	(0.008)
Big 4 × Risk	-0.035**	-0.038***	-0.00046*	-0.00012	-0.020	-0.032***
	(0.016)	(0.012)	(0.00024)	(0.00010)	(0.045)	(0.011)
Observations	70,197	70,197	70,197	70,197	70,197	70,197
Firms	5,623	5,623	5,623	5,623	5,623	5,623
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Missing-value indicators	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
SE clustering	Firm	Firm	Firm	Firm	Firm	Firm

Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.